5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں

FUND MANAGER REPORT

April | 2025

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Family Takaful Limited
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MARKET REVIEW

Stock Market Review

During the month of April 2025, the KSE-100 Index declined by 6,480 points (down 5.5%) to close at 111,327 points, while KMI-30 ended the month 9.1% lower MoM. The main difference in performance between KMI-30 and KSE-100 was due to the relative outperformance of Banking Sector and under performance of the Oil Sector. The average daily volume of the market stood at 518 million shares, which was up by 42% on a MoM basis. Oil & Gas Marketing Companies, Fertilizer and Pharmaceuticals were the major negative contributing sectors to the index performance during the month, while Banks, Cements and Automobile sectors were positive contributors. Increased market volatility helped lift average daily traded value (ADTV) by 24% MoM to US$ 156 million (ready + futures), with net selling seen by the Insurance sector and foreign corporates.

Foreigners were net sellers with an aggregate selling of US$ 9.5 million during the month whereas Companies and Pension Funds were major buyers with buying aggregating to US$ 26.4 million and US$ 22.2 million respectively. The oil prices declined significantly by 15.3% during the month with Brent closing at US$ 63.12 per barrel due to trade war effects and slowdown in global economic activity.

While near-term volatility cannot be ruled out, we maintain a long-term positive outlook on the equity market. We encourage investors to enhance their long-term exposures to equities at these levels.

Money Market Review

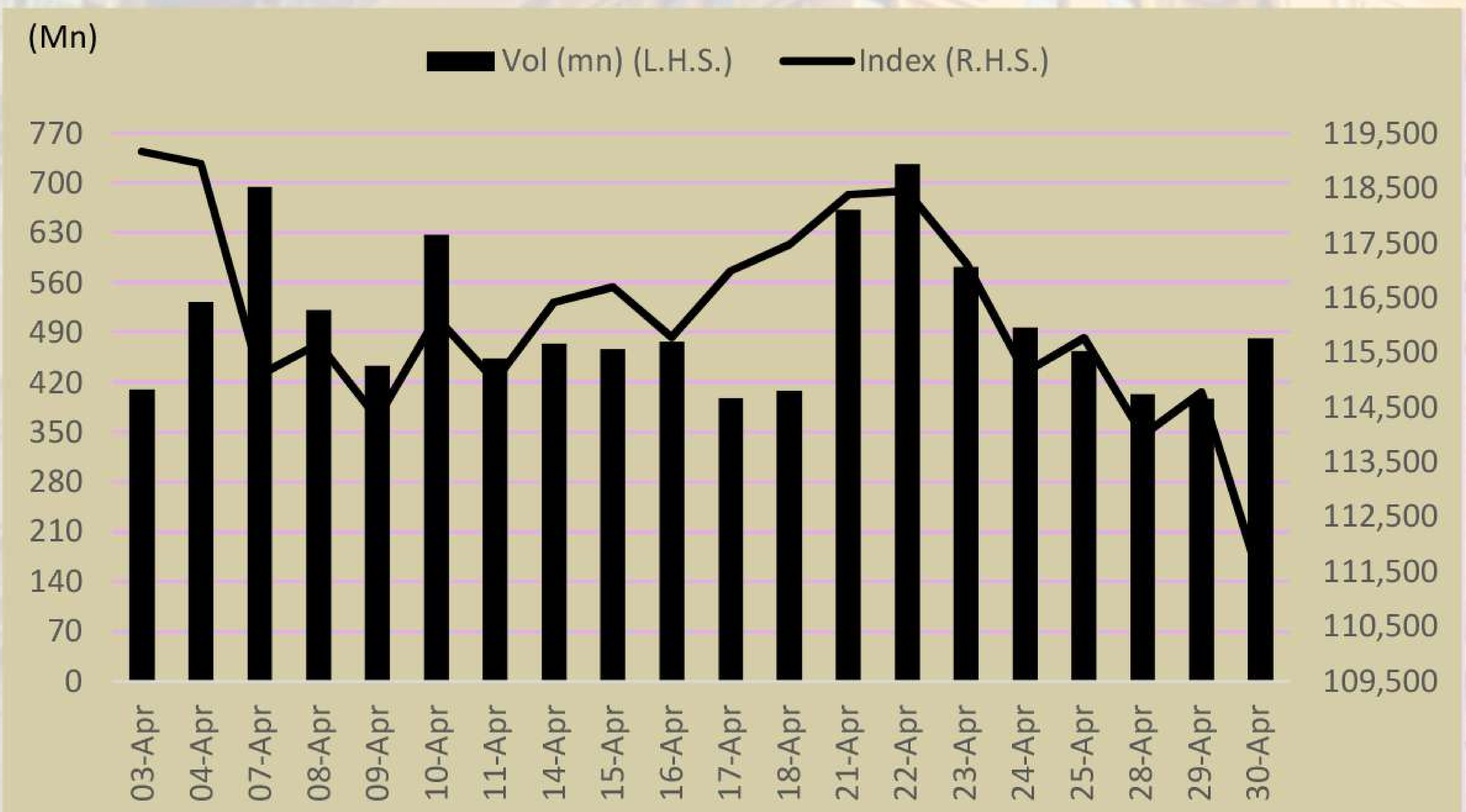
During the month of April 2025, money market rates saw a slight downward shift in anticipation of monetary easing. The 3M, 6M, and 12M KIBOR declined by 3–8 bps, closing at 12.10%, 12.10%, and 12.29%, respectively. T-Bill yields dropped by 3–18 bps across tenors, ending at 11.95% (3M), 11.92% (6M), and 11.95% (12M). Fixed-rate PIBs saw mixed movement: the 3-year and 5-year dropped by 17 & 9 bps to 11.80% and 12.37% respectively, while the 10-year rose by 19 bps to 12.50%.

T-Bill and PIB Floater auctions were held twice during the month. The T-Bill auction raised Rs. 1,527 billion against a target of Rs. 1,250 billion, with significant investor interest in the 1-month and 12-month tenors. In the PIB Floater auction, Rs. 581.48 billion was raised against a target of Rs. 550 billion. Similarly, the fixed-rate PIB auction attracted stronger participation, especially in the 10-year tenor, with Rs. 427.13 billion accepted against the target of Rs. 350 billion.

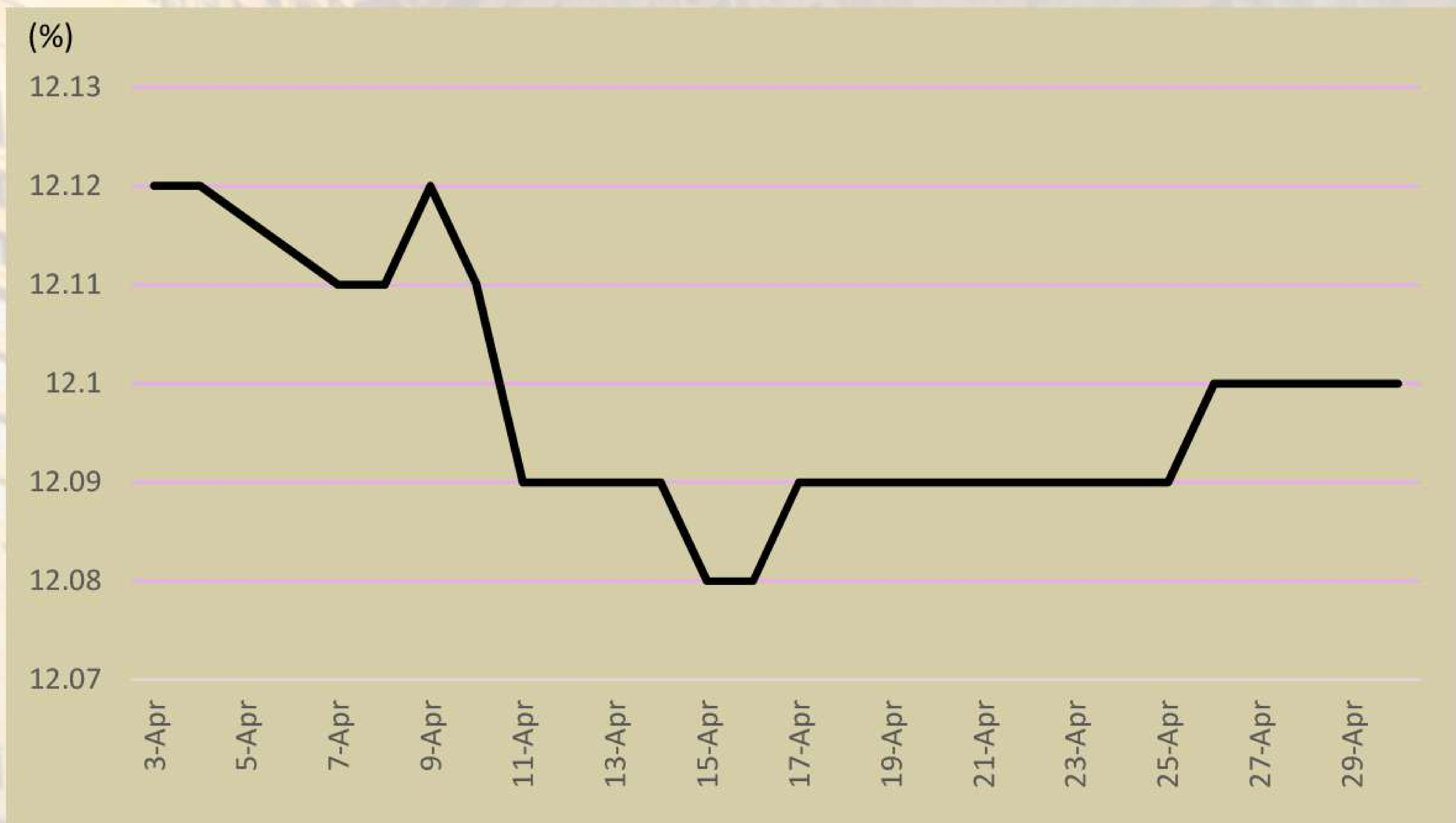
On the Islamic side, the government raised Rs. 105 billion through the auction of fixed and floating-rate GoP Ijarah Sukuks, spanning tenors from 1 to 10 years. The SBP received bids worth Rs. 501 billion, nearly five times the target of Rs. 100 billion, reflecting fears of sukuk supply constraints.

On the external front, the PKR weakened by Rs. 0.81 against the USD in the interbank market and by Rs. 1.05 in the open market, closing at Rs. 280.97 and Rs. 282.90, respectively. With inflation declining at a faster pace than anticipated, the case for monetary easing is strengthening. However, the SBP is expected to remain cautious in the near term.

KSE - 100 Index Performance



6 Month Kibor



5th Pillar Family Takaful Limited - Conservative Fund
For the month of April- 2025

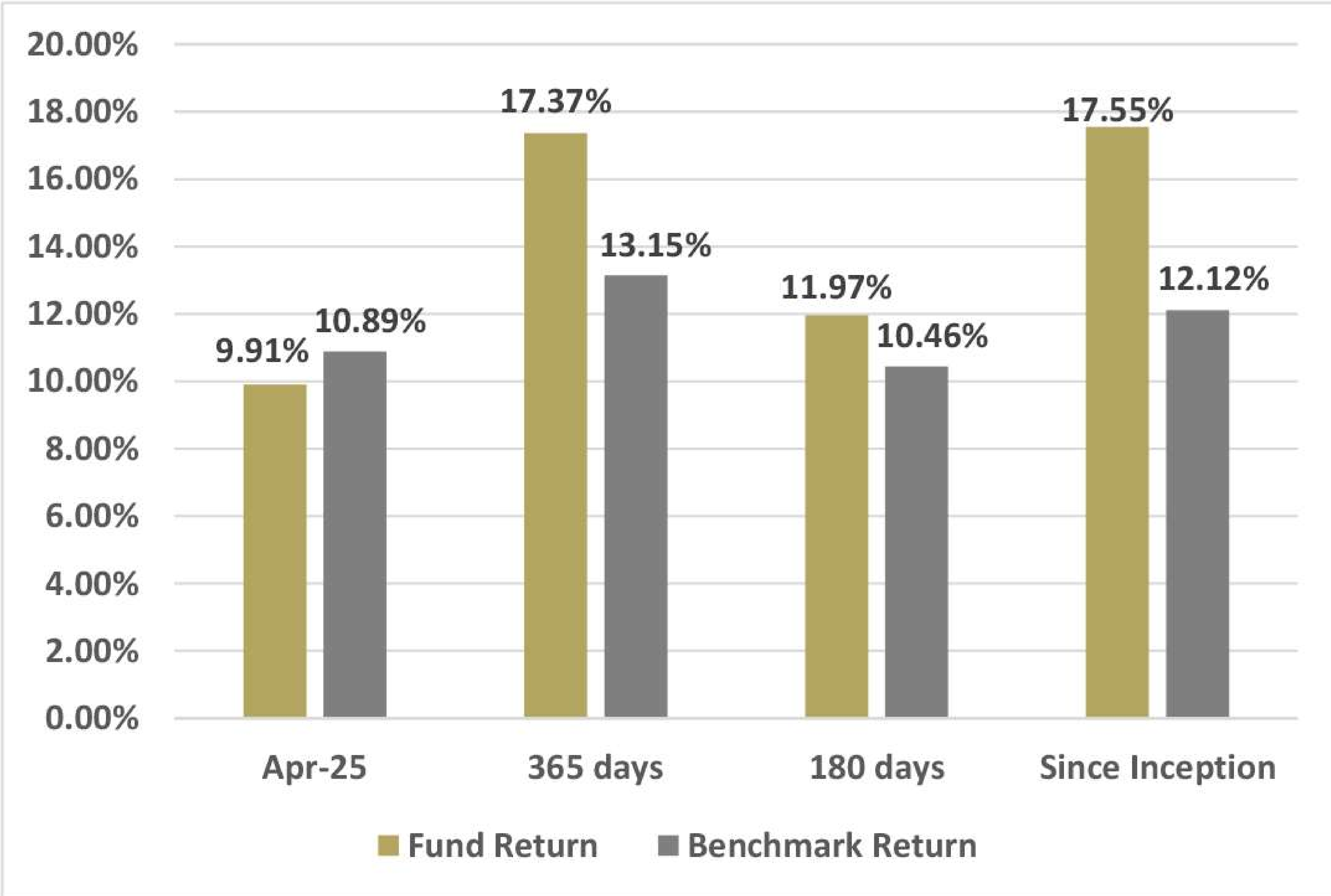
Investment Objective:

The main objective of fund is to provide the stability in returns by investing in low risk shariah compliant fixed income instruments with strong credit rating.

Fund Information

Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (April-2025)	133.4825
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	577.6 M
Weighted Avg.time to Maturity	0.4 Year
Expense Ratio	0.28%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windows of Conventional banks

Fund's Performance

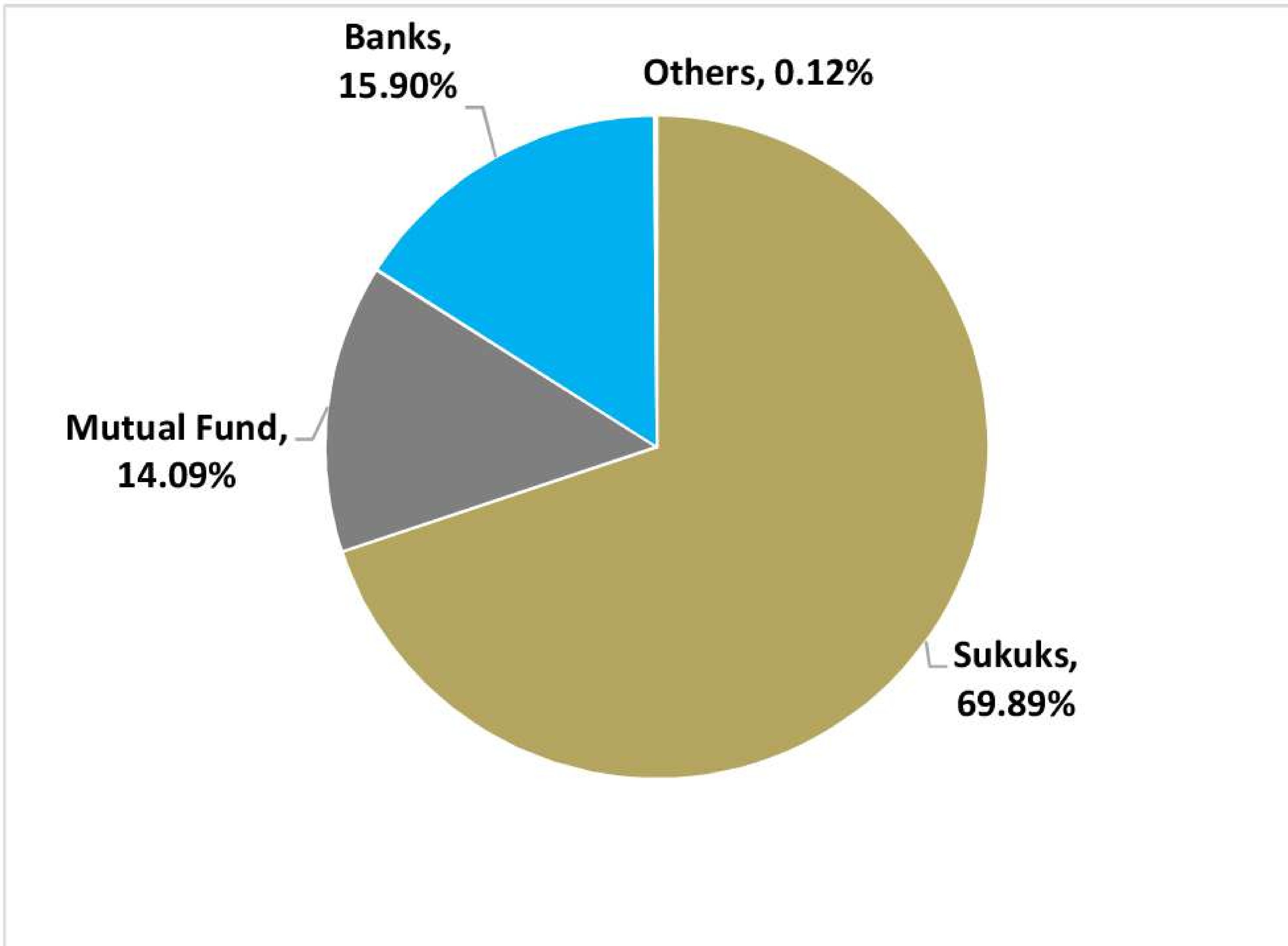


Asset Allocation	Apr-25	Mar-25
GOP Ijarah Sukuks	69.89%	82.06%
Mutual Funds	14.09%	9.23%
Bank	15.90%	2.38%
Others	0.12%	6.33%

Asset Quality	Apr-25	Mar-25
Government guaranteed	70.01%	82.89%
AAA	15.90%	2.38%
AA+	14.09%	9.23%
Unrated	0.01%	5.50%

Fund Returns	Apr-25	Mar-25
Return on (MoM) basis	9.91%	7.40%
180 days return	11.97%	16.12%
Last 365 days return	17.37%	17.67%
Return since inception (annualized)	17.55%	17.93%
Last 05 years (annualized)	N/A	N/A
Last 10 years (annualized)	N/A	N/A

Asset Allocation



Fund Manager's comments

US tariffs and geopolitical tensions weighed on the KSE's performance in April. The imposition of reciprocal tariffs by the US, along with escalating cross-border tensions with India, led to a series of setbacks for the KSE-100 index, which dropped to 111,000—a 5.5% decline month-on-month.

The beginning of April 2025 was overshadowed by Trump’s protectionist policies, leading to significant import tariffs on countries globally, including Pakistan. At the same time, OPEC announced an increase in oil supply, causing a sharp decline in Brent Crude and WTI prices. Month-end saw political tensions rise after an attack on Indian civilians in Indian occupied Kashmir, with India blaming Pakistan and Pakistan denying the claim.

Trading activity improved by 42%/31% MoM in terms of shares/ US$-value traded in Apr-2025, reflecting the Ramadan-affect impacting volumes last month, however the average volumes remained lower than the levels seen during Nov-2024 to Jan-2025. Foreigners remained net sellers this month as well, taking 10MFY25 net outflow to ~US$252mn.

Throughout the month, there was notable interest in selected stocks—specifically UBL, MLCF, MEBL, and LUCK—driven by foreign inflows. These stocks outperformed the benchmark.

Though the pressure was there on geo-political side, Pakistan’s key macro indicators remained progressive with CPI inflation hitting <1% in Mar/Apr 2025, remittances crossed $4bn in March and Current account balance posted a surplus $1.19bn for the month. Materialization of planned foreign inflows, which are likely post IMF disbursement, in addition to geo-political

We believe the SBP still has room to reduce rates by 2-3% due to several factors: elevated positive real interest rates, a shifting outlook for oil prices, and lower electricity tariffs. Furthermore, with the equity market offering attractive valuations—its price-to-earnings (PE) ratio under 6.6x compared to the average of around 7.5x, and a market capitalization-to-GDP ratio of approximately 10%, well below the historical average of 20%—we anticipate the market will maintain its upward momentum in the coming year. This momentum is likely to be fueled by additional rate cuts and a continued shift of liquidity from income and money market assets into equities.